

stock. I suspect they had some definite information. The bonus share announcement came on a Thursday, and the price of the stock surged. Friday being the last day of settlement on BSE, the stock was expected to rise further as the weaker bears rushed to cover their positions.

The stronger of the bears chose to shift their short positions to NSE, where the settlement was on Tuesday. The bears were confident that one of the domestic financial institutions, which was also a big shareholder in that company, would sell some of its holdings on Monday. What they did not count on was the bull cartel sending two envoys to the house of a senior fund manager of that institution on Sunday and convincing him not to sell on Monday at any cost. In return, the duo assured the fund manager that he would be able to get a much better price for his unitholders on Tuesday as the bears would have to cover in desperation.

The fund manager was convinced, and agreed to hold fire on Monday. By Monday noon the bears were sweating. They had learnt that the institution would not be selling that day, and there was no guarantee that it would sell on Tuesday either. Frantic short-sellers began buying back what they had sold, pushing the stock price higher. The institution finally sold in the last hour of trade on Tuesday. But it was too late for the bears, who had already got out of their positions at a loss.

A week later, over drinks, Lucky told me how the bulls managed to turn the screws on the bears. I was curious to know about the two envoys who had met the fund manager.

‘I can tell you about only one of them,’ he said.

‘Do you know him personally?’ I asked.

‘Very well; that was me. Don’t ask me who the other person was, I can’t tell,’ he said.

In the last week of October, Hong Kong became the latest casualty of the financial crisis sweeping the region. The US market, which was until then unaffected by the chaos in Asia, capitulated a couple of days later. The Dow Jones Industrial Average crashed a record 554 points, and trading had to be suspended.

Bad news was pouring in from every corner. Despite its economy being in a much better shape, India seemed as vulnerable as any other market. Foreign investors, who had so far shown faith in the India story, had to make up for the losses suffered in other markets, particularly in Southeast